

The purpose of this memo is to highlight a potential inconsistency identified during the FY25 labor cost baseline review.

Internal payroll records indicate that the current daily wage rate applied for unskilled contract labor is Rs 642, based on the last revision conducted in April 2023.

Given recent updates issued by the Delhi Labor Department, there is a risk that the current wage baseline may not reflect the latest statutory minimum wage applicable to manufacturing establishments.

The Labor Department website contains multiple wage notifications and reference tables, some of which may not be applicable to the manufacturing sector or the current time period. It is therefore important to validate the correct notification before updating any assumptions.

This validation will directly impact labor cost projections and compliance positioning for the upcoming financial year.